

In fact, the stock continued lower. Much lower. I sold at 15.70 for a 20% loss, but the stock bottomed at 7.69 or 51% below my sale price. As big as my loss was, I'm glad I sold.

Looking at the chart for the buy, the stock was well away from the bottom trendline, moving higher at a brisk pace (6 days in a row, it made a higher high). Maybe that was an indication of weakness. How long can the stock continue such a strong push upward? Perhaps running the chart through a momentum indicator would have provided a clue to the underlying weakness.

In this trade, I entered late but made a perfect exit (on the day price broke out downward).

- Lesson: Before buying, don't be afraid to use technical indicators to uncover a weakening trend.

## **Chico's FAS**

The 2009 bear market ended for Chico's FAS (CHS) in January, and the stock moved higher, ahead of the general market which didn't bottom until March. In June and July, the stock took a breather and formed the broadening top. I bought at what looks to be about a week before the breakout, just as price moved sideways at the top of the pattern. "24 July 2009. Buy reason: Broadening top. New management took over in January–February, so a turnaround is in place." This was a buy-and-hold stock because I wanted to participate in the turnaround. Upside target was 17 and 27. The downside? "Stop: 8.94 –17.5%. Stop used: None. Long-term holding, but 8 is a good exit price."

The stock performed, moved up in a graceful turn, and peaked at 16.57 on 26 April 2010, quite close to my 17 target. I should have sold there. The stock was just 2.6% below my target, having made it there in less than a year. Hindsight...

- Lesson: If the stock closes within 3% [or pick a value] of the target, consider selling.

The day the stock peaked, I placed a conditional order to sell the stock if the previous close was at or below 13.73 by October 2010. The order was 17%